November 4, 2026 12:34 AM GMT

Nike Inc. | North America

Investor Day Framework: We See ~$2 in Normalized EPS; Remain Underweight

WHAT'S CHANGED

Nike Inc. (NKE.N)	From	To
Price Target	$27.00	**$25.00**

Our work points to a ~$40B revenue base and ~$2 of EPS through '31e, even with margins near consensus. While management may outline a more ambitious path at the upcoming Investor Day, we see further negative EPS revisions and valuation de-rating risk ahead. Reiterate Underweight; lower PT to $25.

Key Takeaways

- 3 independent analyses point to ~$40B in normalized revenue, ~15% below '31e Street, & suggesting NKE's sales reset is far from over, with 2+ additional years possibly ahead.
- While we see growth potential in Performance, Sportswear & Jordan may need to be ~25% smaller on average than current levels, which we do not think is appropriately contemplated in Street forecasts.
- Our EBIT margin analyses suggest normalized margins should reach ~9.5%, in-line with consensus' '31e trajectory, but with lower revenue implying ~$2 in normalized EPS, or ~15% downside to '31e Street estimates.
- While the Investor Day could bring more optimistic targets, we believe negative earnings revisions & valuation de-rating risk remain. Reiterate Underweight with lowered $25 price target.

With NKE's Investor Day expected to outline targets through ~'31e, the key questions are where revenue and margins ultimately reset from the current ~$43B base and historically ~low-teens % margin profile, and how long that takes. Three independent methodologies converge near ~$40B of revenue, ~15% below '31e consensus, while our work points to ~9.5% normalized margins – implying ~$2 in EPS vs. $2.45 '31e Street – and consumer-brand precedents suggest at least ~2 more years of reset. Management could outline a more ambitious path toward the industry's historical ~MSD % growth and NKE's historical margins, but we view that as a bull case. A deeper reset would drive further negative EPS revisions and valuation de-rating – reiterate Underweight with a lowered $25 price target.

Our three independent revenue analyses converge on ~$40B in normalized sales, or ~15% below consensus '31e forecasts (Exhibit 2):

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Nike Inc. (NKE.N, NKE UN)

Branded Apparel & Footwear | United States of America

Stock Rating	**Underweight**
Industry View	**Cautious**
Price target	**$25.00**
Shr price, close (Nov 3, 2026)	$38.48
Mkt cap, curr (mm)	$57,131
52-Week Range	$69.12-31.98

Fiscal Year Ending	05/26	05/27e	05/28e	05/29e
EPS ($)**	2.10	1.14	1.35	1.56
Prior EPS ($)**	-	1.15	1.31	1.63
EPS ($)§	1.66	1.27	1.52	1.85
P/E, consensus§	27.8	30.3	25.3	20.8
EV/EBITDA**	14.8	19.6	17.5	15.5
Div yld (%)	3.5	4.3	4.4	4.6
Revenue, net ($mm)	46,398	42,361	40,913	40,189
EBIT margin (%)**	8.2	5.0	6.2	7.2
Return on avg eqty (%)**	22.1	11.4	13.8	16.2
Net debt/EBITDA**	NM	NM	NM	NM
ModelWare EPS ($)	2.10	1.14	1.35	1.56

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	0.49	-	0.48a	-	-
Q2	0.53	0.32	0.31	-	-
Q3	0.35	0.21	0.20	-	-
Q4	0.72	0.15	0.14	-	-

e = Morgan Stanley Research estimates, a = Actual Company reported data

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- **#1 Bottom-up Category Analysis (~$41B):** Our category work implies ~$41B in revenue, or ~15% below '31e consensus, as meaningful contraction in Sportswear & Jordan is only partially offset by possible growth in Performance (see below). We average multiple independent sizing frameworks for each category. See **Category Analysis** .
- **#2 Bottom-up Geography Analysis (~$42B):** Our analysis implies ~$42B in revenue, or ~10% below the Street's '31e forecast, assuming continued share losses across North America, EMEA, & APLA as global fragmentation continues & the largest markets mature (more here & here), as well as the impact of Greater China's online distributor exit. See **Geography Analysis** .
- **#3 Revenue Reset Precedents (~$37B):** Applying the average decline across six revenue reset precedents to NKE's '24 revenue peak suggests ~$37B in revenue, or ~25% below the Street's '31e forecast. See **Revenue Reset Precedent Analysis** .

Within our category analysis, each business's independent sizing frameworks imply the following normalized revenue bases:

- **Sportswear (~$17B vs. ~$22B currently):** Our two analyses average to ~$17B, or ~25% below current levels, informed by lifestyle-brand reset precedents & Sportswear's estimated historical size relative to Performance.
- **Performance (~$18B vs. ~$16B currently):** Our two analyses point to ~$18B, or ~10% above current levels, reflecting underlying category growth & NKE's exposure across individual sports.
- **Jordan (~$5B vs. ~$7B currently):** Our four analyses average to ~$5B, or ~25% below current levels, informed by pre-Covid growth normalization, brand scale, market share, & historical sales mix.

Our EBIT margin analyses point to normalized margins ~in line with '31e consensus at ~9.5%. Peer benchmarking, peer multi-factor regression, & incumbent fragmentation precedents point to ~9.5% average EBIT margin as a reasonable normalized level for NKE (Exhibit 3). Put differently, the earnings downside we see is driven by our lower sales outlook rather than a below-Street margin rate. See Margin Analysis.

Our ~$2 base case implies ~15% EPS downside vs. '31e consensus $2.45, driven by our lower revenue forecast. Applying a ~9.5% margin to ~$40B in revenue yields ~$3.8B in EBIT & ~$2.05 in EPS. To frame the range of potential outcomes, our bull case (~$42B revenue, ~11% margin) implies ~$4.6B in EBIT & ~$2.50 in EPS, modestly above the Street's '31e estimate, while our bear case (~$32B revenue, ~8% margin) implies ~$2.6B in EBIT & ~$1.40 in EPS, ~45% below the Street's '31e forecast (Exhibit 1). We revise our estimates to reflect this base case, with our M-T EPS now ~MSD % below prior on average, & ~15% below the Street. **Our price target falls to $25 from $27,** implying ~35% downside to current levels & 18x '28e P/E vs. 26x currently.

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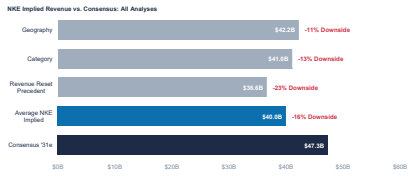
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Exhibit 1: Our base case points to ~$40B in '31e sales vs. $47.3B consensus, with ~in-line EBIT margins. This implies ~$2 in normalized EPS, ~15% below the Street's '31e forecast.

Case	Revenue	EBIT Margin	EBIT	EPS
Bull	~$42B	~11%	~$4.6B	~$2.50
Base	~$40B	~9.5%	~$3.8B	~$2.05
Bear	~$32B	~8%	~$2.6B	~$1.40
Consensus '31e	$47.3B	9.5%	$4.5B	$2.45
Current (Consensus '27e)	$42.7B	5.5%	$2.3B	$1.25

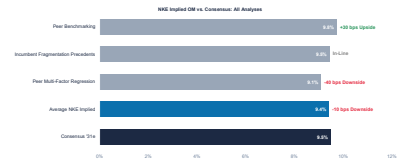
Source: Visible Alpha, Morgan Stanley Research

Exhibit 2: Three independent revenue analyses imply ~$40B in normalized NKE sales, ~15% below '31e consensus.



Source: Visible Alpha, Morgan Stanley Research

Exhibit 3: Our EBIT margin analyses point to ~9.5% on average, ~in-line with the Street.



Source: Visible Alpha, Morgan Stanley Research

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AlphaSignals Catalyst Event Preview

Company / Catalyst	Date	Importance	Surprise
Nike Inc. NKE.N			
Investor Day	17 Nov 2026	Very High	↓ Modest downside surprise

Source:Company data, Morgan Stanley Research

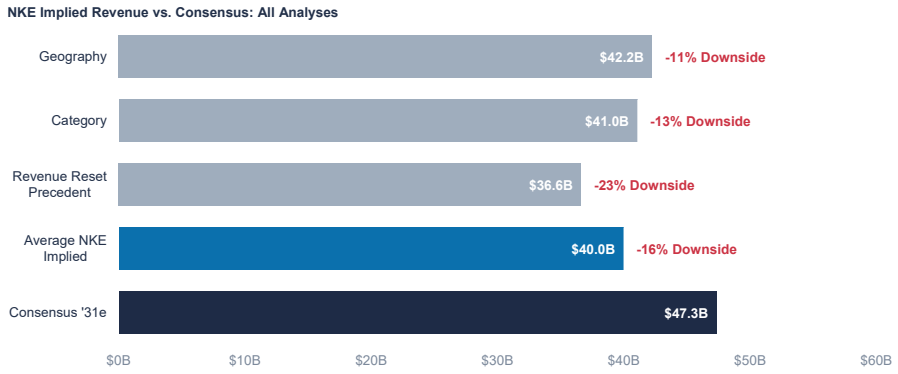
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Sales Analysis

Our three independent revenue analyses point to a ~$40B sales base – ~15% below consensus' ~$47B '31e estimate: 1) category ($41B), 2) geography ($42B), & 3) historical corporate revenue reset precedents ($37B) (Exhibit 4).

Exhibit 4: Our revenue frameworks converge near ~$40B, with revenue reset precedents most bearish.

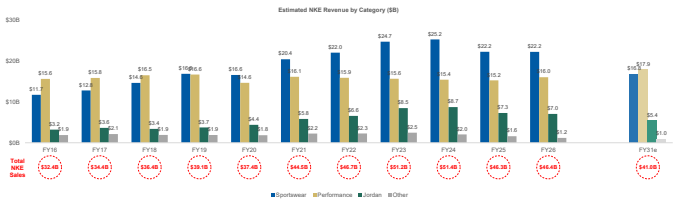


Source: Visible Alpha, Morgan Stanley Research

Category Analysis

Our bottom-up category analysis sums the average implied revenue from independent sizing frameworks for NKE's Sportswear ($17B), Performance ($18B), & Jordan businesses ($5B), plus $1B of consensus Other revenue (Converse & Corporate; Exhibit 5). In total, it points to **$41B** in total sales (Exhibit 6 & Exhibit 7).

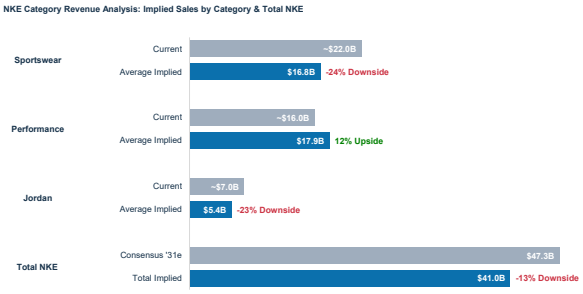
Exhibit 5: Our bottom-up category analysis sums the average implied revenue from independent sizing frameworks for NKE's Sportswear ($17B), Performance ($18B), & Jordan businesses ($5B).



Source: Company data, Morgan Stanley Research

Note: '16-'21: Based on disclosed category sales. We use the sales-by-category tables in Nike's annual reports, defining Performance as Running, Basketball, Football (Soccer), & Training, plus 60% of "Other." That allocation reflects our estimate of the sport-related share of a category that includes both sport products, such as golf, & lifestyle products, such as action sports. These tables present sales on a "wholesale-equivalent" basis, valuing sales through Nike's own stores & website at wholesale prices. We convert those figures to reported revenue using the relationship between Nike's disclosed wholesale-equivalent & reported revenue totals. Nike does not disclose conversion factors by category, so we apply the same rate to Performance & Sportswear. '22-'25: Based on reported totals & estimated Performance revenue. Nike stopped publishing category sales after '21. For '22-'25, we use reported Nike Brand & Jordan revenue, converting '22 Jordan revenue to a reported-revenue basis. We estimate Performance by working backward from management's statement that it is roughly a $16 billion business today, smoothing the intervening years. '26: Based on management's Performance figure & reported Jordan revenue. We use approximately $16 billion for Performance & $7.0 billion for Jordan, leaving approximately $22 billion for Sportswear.

Exhibit 6: In our Category analysis, Sportswear & Jordan contraction more than offsets growth potential in Performance.



Source: Visible Alpha, Company Data, Morgan Stanley Research

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Exhibit 7: Our Category analysis implies ~$41B in normalized sales, ~13% below '31e consensus.

Category	Analysis	Implied Size
Sportswear *(currently ~$22B)*	A: Lifestyle Reset Precedents	$17.3B
	B: Historical Size vs. Performance	$16.2B
	Average Implied	**$16.8B**
Performance *(currently ~$16B)*	A: Sport Exposure	$18.2B
	B: Category Growth	$17.7B
	Average Implied	**$17.9B**
Jordan *(currently ~$7B)*	A: Normalized Growth	$6.4B
	B: Scale Framework	$5.9B
	C: Historical Sales Mix	$4.6B
	D: Market Share	$4.6B
	Average Implied	**$5.4B**
Consensus Other *(currently ~$1B)*	Converse & Corporate	**$1.0B**
Total NKE Implied		**$41.0B**
Consensus '31e		**$47.3B**
% Downside		***-13%***

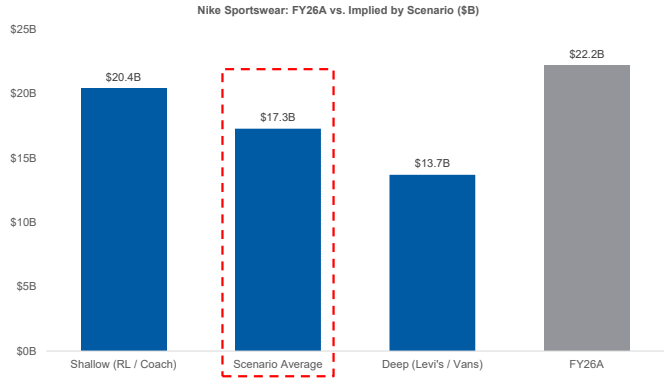
Source: Visible Alpha, Company Data, Morgan Stanley Research

Sportswear – ~$17B implied vs. ~$22B currently. We focus on two approaches:

- **Lifestyle Reset Precedents.** To assess Sportswear's potential size, we index Sportswear and 10 lifestyle-brand precedents to peak revenue, and compare the depth and duration of subsequent declines. The peers we referenced are Converse, Vans, Levi's, Crocs, Skechers, HEYDUDE, Dr. Martens, Ralph Lauren, Coach, & Michael Kors. We consider three outcomes: 1) the peer average, a ~31% peak-to-trough decline (using declines to date for ongoing resets); 2) a shallower ~19% decline, consistent with Ralph Lauren & Coach – the "best case" outcomes; and 3) a deeper ~46% decline, consistent with Levi's & Vans – the "worst case" outcomes. These scenarios imply $13.7-20.4B of normalized Sportswear revenue, with the peer-average case pointing to **~$17.3B** (Exhibit 8 & Exhibit 9).
- **Historical Size vs. Performance.** We assess Sportswear's potential reset size by comparing its current size relative to Performance with history. We reconstruct the historical category split from NKE disclosures, adjust for reporting changes, & convert sales to a reported-revenue basis. Our base case allocates 60% of the legacy 'Others' category to Performance, based on identifiable sports businesses. Altogether, we calculate Sportswear averaged 0.9x the size of NKE's Performance business in '17-'19, vs. 1.4x in '26. Applying the historical ratio to an assumed ~$18B Performance revenue base (see below) implies **~$16.2B** of Sportswear revenue.

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Exhibit 8: Lifestyle-brand reset precedents imply ~$17.3B of normalized Sportswear revenue.



Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 9: Lifestyle-brand revenue resets average ~31% peak-to-trough.

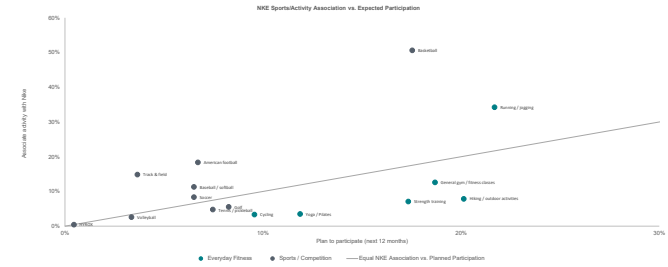
Company	Duration (Peak → Trough)	Number of Years	Peak-to-Trough Revenue Decline
CONVERSE	FY23 → FY26	3+ (ongoing)	-52%
VANS	FY22 → FY26	4+ (ongoing)	-48%
LEVI'S	FY96 → FY04	8	-43%
MK	FY16 → FY26	10+ (ongoing)	-39%
HEY DUDE	CY23 → CY25	2+ (ongoing)	-25%
crocs	CY07 → CY09	2	-24%
Dr. Martens	FY23 → FY26	3+ (ongoing)	-24%
SKECHERS	CY10 → CY12	2	-22%
RALPH LAUREN	FY15 → FY20	5	-19%
COACH	FY13 → FY17	4	-19%
Average		4.3	-31%

Source: Visible Alpha, Company Data, Morgan Stanley Research

Performance – ~$18B implied vs. ~$16B currently. We focus on two approaches:

- **Category Growth.** We assume ~LSD % annual growth in NKE's Performance revenue, below the global Performance market's ~MSD % average over the last 10 years, as the category matures & continues to fragment (more here & here). This implies **~$17.7B** in normalized Performance revenue by '31e.
- **Sports Exposure.** We estimate total industry growth by using NSGA US participation data across 13 sports, & weighting each sport's 2025 growth by its share of total participants. This yields total industry growth of 3.4%. To estimate NKE's growth, we apply the same NSGA-derived sport growth rates, but weight each sport by how many participants associate it with NKE in our October survey. This yields NKE growth of 2.6%, or ~90 bps below the industry growth rate. Put differently, compared to the industry as a whole, NKE has higher exposure to slower-growing sports (i.e., running/jogging), & lesser exposure to faster-growing sports (i.e., tennis/pickleball, golf, and hiking/outdoor), which results in a below-industry total growth rate. Using this as a proxy for sales growth implies **~$18.2B** in Performance sales (Exhibit 10 & Exhibit 11).

Exhibit 10: Nike under-indexes to everyday fitness activities such as hiking, yoga/pilates, strength training, & cycling, which our survey suggests are likely to be higher growth.



Source: AlphaWise, Morgan Stanley Research

Exhibit 11: NKE-weighted participation growth of 2.6% trails the industry's 3.4%.

Sport/Activity	2025 Growth (NSGA)	Industry Weight (Participants % of Total)	NKE Weight (Participants x % NKE Association, % of Total)
Running / jogging	-4.7%	11.0%	29.1%
Basketball	6.9%	6.5%	25.8%
Hiking / outdoor activities	5.1%	15.0%	9.3%
General gym / fitness classes	10.7%	8.4%	8.5%
Strength training	1.3%	10.3%	5.6%
Baseball / softball	-2.2%	5.0%	4.3%
Tennis / pickleball	7.9%	8.3%	3.2%
Yoga / Pilates	1.6%	10.0%	3.1%
Soccer	5.1%	4.3%	2.7%
Cycling	1.7%	11.1%	2.6%
Golf	7.9%	5.5%	2.5%
American football	3.0%	1.8%	2.5%
Volleyball	3.7%	2.9%	0.7%
Total Weight		**100.0%**	**100.0%**
Weighted Growth		**3.4%**	**2.6%**

Source: AlphaWise, NSGA, Morgan Stanley Research

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Jordan – ~$5B implied vs. ~$7B currently. We leveraged four approaches:

- **Normalized Growth.** We estimate Jordan's normalized revenue by extrapolating its pre-Covid growth trajectory prior to the Covid-era significant growth acceleration. We reconstruct historical revenue, adjust for reporting changes, & convert wholesale-equivalent sales to a reported-revenue basis. Applying Jordan's '16-'19 wholesale-equivalent sales CAGR of ~4.5% to our estimated '19 revenue base of ~$3.8B implies **~$6.4B** in '31e revenue.
- **Scale Framework.** Our proprietary scale framework suggests Jordan exhibits characteristics consistent with a ~MSD B$ revenue global apparel/footwear brand, implying **~$5.9B** in normalized revenue (Exhibit 12). For more on our proprietary scale framework, see here.
- **Market Share.** We estimate Jordan's normalized revenue based on its share of the global sportswear market. More specifically, Euromonitor data show Jordan's share peaked at ~1.8% in '21-'23 before declining to ~1.2% in '26, with average annual share losses of ~20 bps in '24-'26. We run a sensitivity analysis on the % of the L3Y share loss pace that continues, from 0-100%. Our base case assumes 50% of that pace continues, or ~10 bps of annual share loss in '27e-'31e, taking share to ~0.7% by '31e. Applying this share to a global sportswear market growing at a ~2% CAGR and converting to NKE's reported-revenue basis implies **~$4.6B** in Jordan revenue (Exhibit 13).
- **Historical Sales Mix.** We estimate Jordan's normalized revenue by applying its pre-Covid sales mix to consensus NKE revenue. More specifically, we reconstruct historical Jordan revenue, adjust for reporting changes, convert wholesale-equivalent sales to a reported-revenue basis, & calculate Jordan's share of historical NKE revenue. Applying Jordan's average '15-'17 revenue share (~10% vs. ~15% currently) to ~$47.3B of '31e consensus NKE revenue implies **~$4.6B** in Jordan revenue (Exhibit 15).

Exhibit 12: Our scale framework points to ~$5.9B of normalized Jordan sales.

Criteria	Assessment	Opportunity
High Non-Home Market Exposure	+	~$7-10B
Mostly Mass & Luxury	+	~$7-10B
Large Non-Apparel Exposure	+	~$7-10B
Customer Aged < 35	+	~$7-10B
Lifestyle-Skewed	=	~$7B
High Western Market Exposure	=	~$7B
Company Age > 50	-	~$3-7B
Mostly DTC	-	~$1-3B
Mostly Female	-	~$1-3B
Multiple Brands	-	~$1-3B
Criteria Output		**~$5.9B**
Current		**~$7B**

Source: Company Data, Morgan Stanley Research

Exhibit 13: At half its recent share-loss pace, Jordan would generate ~$4.6B in '31e revenue.

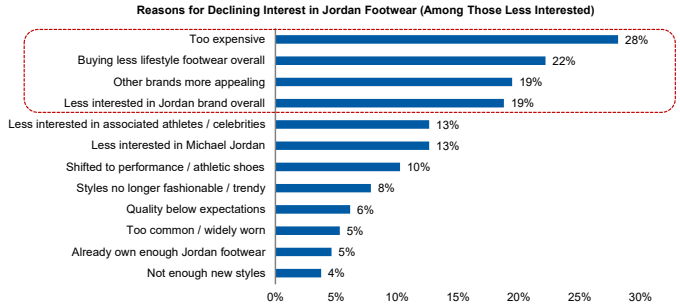
Jordan Revenue FY31e ($B)		World Sportswear Market CAGR '26-'31e			
		1.0%	2.0%	3.0%	4.0%
% of L3Y Share-Loss Pace That Continues	100%	$1.4	$1.5	$1.6	$1.7
	90%	$2.0	$2.1	$2.2	$2.4
	80%	$2.6	$2.8	$2.9	$3.0
	70%	$3.2	$3.4	$3.6	$3.7
	60%	$3.8	$4.0	$4.2	$4.4
	50%	$4.4	$4.6	$4.9	$5.1
	40%	$5.0	$5.3	$5.5	$5.8
	30%	$5.6	$5.9	$6.2	$6.5
	20%	$6.2	$6.5	$6.8	$7.2
	10%	$6.8	$7.1	$7.5	$7.9
	0%	$7.4	$7.8	$8.2	$8.6

= MSe View

Source: Euromonitor, Company Data, Morgan Stanley Research

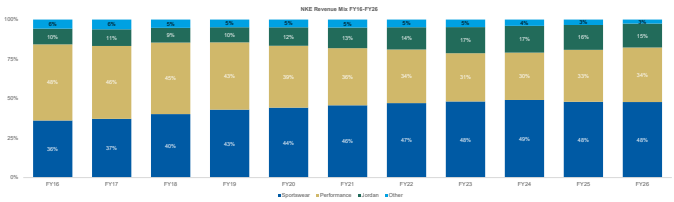
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Exhibit 14: Our recent survey work indicates that the most common reason for declining interest in Jordan footwear is that the product is too expensive.



Source: AlphaWise, Morgan Stanley Research

Exhibit 15: In '26, Jordan represented ~15% of NKE sales vs. ~10% historically.



Source: Company Data, Morgan Stanley Research

Geography Analysis

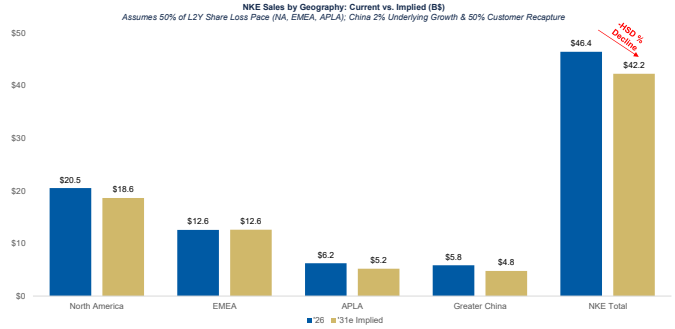
We estimate NKE's '31e revenue by geography with 2 separate analyses: 1) market share for NA, EMEA, & APLA, & 2) estimating the online distributor impact for Greater China.

#1 For NA/EMEA/APLA, we run a sensitivity of the % of L2Y share declines that continue in each region from 0-100%. In our base case, we assume half the annual share-loss pace observed in '23-'25 continues for the next five years, taking share to ~11.2%, ~12.1%, & ~8.4%, respectively. Applying those shares to regional industry forecasts (with NA expected to grow ~LSD % annually & APLA/EMEA ~MSD % annually), with the retail-to-revenue conversion held constant, implies ~$36.4B in combined non-China revenue (Exhibit 19).

#2 For Greater China, we run a sensitivity of the % of lost online sales recaptured 0-100%, as well as underlying (i.e., ex. distribution exit) growth from ~0-4% from '28e onwards. Our base case of ~2% underlying growth and ~50% online distribution exit recapture points to ~$4.8B '31e Greater China sales.

Including Converse, GBD, & Corporate, this implies **~$42.2B** of NKE '31e revenue (Exhibit 16, Exhibit 17, & Exhibit 18).

Exhibit 16: In our Geography analysis, further share losses & the Greater China online distribution exit imply ~$42.2B in '31e NKE sales vs. ~$46.4B in '26.



Source: Euromonitor, Company Data, Morgan Stanley Research
Note: Regional bars do not include Converse/Other

Exhibit 17: Assuming ~50% of L2Y share losses continue annually in NA/EMEA/APLA & 50% Greater China online distributor exit recapture implies ~$42.2B in '31e sales.

NKE Total Sales '31e ($B)

% of L2Y Share-Loss Pace That Continues (NA, EMEA, APLA)	Greater China: % of Lost Online Sales Recaptured										
	0%	10%	20%	30%	40%	50%	60%	70%	80%	90%	100%
100%	$32.6	$32.7	$32.8	$32.9	$33.0	$33.1	$33.2	$33.3	$33.4	$33.5	$33.6
90%	$34.4	$34.5	$34.6	$34.7	$34.8	$34.9	$35.0	$35.1	$35.2	$35.3	$35.4
80%	$36.2	$36.3	$36.4	$36.5	$36.7	$36.8	$36.9	$37.0	$37.1	$37.2	$37.3
70%	$38.1	$38.2	$38.3	$38.4	$38.5	$38.6	$38.7	$38.8	$38.9	$39.0	$39.1
60%	$39.9	$40.0	$40.1	$40.2	$40.3	$40.4	$40.5	$40.6	$40.7	$40.8	$40.9
50%	$41.7	$41.8	$41.9	$42.0	$42.1	$42.2	$42.3	$42.4	$42.5	$42.6	$42.7
40%	$43.5	$43.6	$43.7	$43.8	$43.9	$44.0	$44.1	$44.2	$44.3	$44.4	$44.5
30%	$45.4	$45.5	$45.6	$45.7	$45.8	$45.9	$46.0	$46.1	$46.2	$46.3	$46.4
20%	$47.2	$47.3	$47.4	$47.5	$47.6	$47.7	$47.8	$47.9	$48.0	$48.1	$48.2
10%	$49.0	$49.1	$49.2	$49.3	$49.4	$49.5	$49.6	$49.7	$49.8	$49.9	$50.0
0%	$50.8	$50.9	$51.0	$51.1	$51.2	$51.3	$51.4	$51.5	$51.6	$51.7	$51.8

MSe View

Source: Euromonitor, Company Data, Morgan Stanley Research

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Exhibit 18: Even stronger underlying Greater China growth (ex. online distributor exits) offers limited offset to share losses elsewhere.

NKE Total Sales '31e ($B)						
		Greater China Underlying Growth				
		0%	+1%	+2%	+3%	+4%
% of L2Y Share-Loss Pace That Continues (NA, EMEA, APLA)	100%	$32.7	$32.9	$33.1	$33.3	$33.5
	90%	$34.6	$34.7	$34.9	$35.1	$35.3
	80%	$36.4	$36.6	$36.8	$36.9	$37.1
	70%	$38.2	$38.4	$38.6	$38.8	$39.0
	60%	$40.0	$40.2	$40.4	$40.6	$40.8
	50%	$41.9	$42.0	$42.2	$42.4	$42.6
	40%	$43.7	$43.9	$44.0	$44.2	$44.4
	30%	$45.5	$45.7	$45.9	$46.1	$46.2
	20%	$47.3	$47.5	$47.7	$47.9	$48.1
	10%	$49.1	$49.3	$49.5	$49.7	$49.9
	0%	$51.0	$51.1	$51.3	$51.5	$51.7

= MSe View

Source: Euromonitor, Company Data, Morgan Stanley Research

Exhibit 19: We forecast go-forward global sportswear growth ~1 pt below Euromonitor.

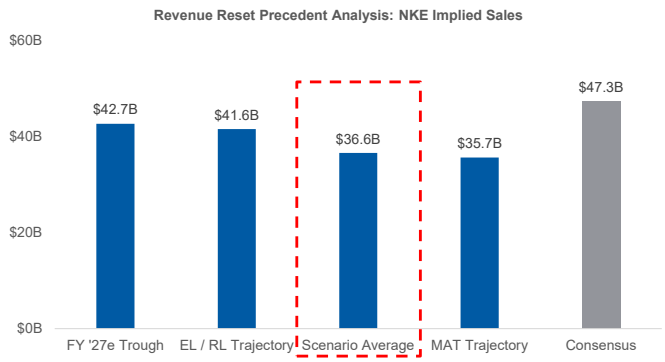
Region	Euromonitor			MS Analysis Assumption
	'15-'19 CAGR	'19-'25 CAGR	'26-'31e CAGR	'26-'31e CAGR
NA	6.5%	4.3%	3.1%	2.0%
EMEA	3.2%	3.9%	4.8%	4.0%
APLA	4.4%	2.2%	5.9%	4.0%
China	14.7%	4.7%	4.0%	2.0%
World	6.2%	3.8%	4.2%	2.9%

Source: Euromonitor, Morgan Stanley Research

Revenue Reset Precedent Analysis

We estimate NKE's normalized revenue by applying historical revenue reset declines to NKE's '24 sales peak. We examine six relevant precedents – Estée Lauder, Mattel, Samsung Mobile, Gucci, Intel, & Ralph Lauren – measuring each peak-to-trough revenue decline (or decline to date where the reset is ongoing) and weighting the outcomes equally. The average ~29% decline, applied to NKE's ~$51.4B revenue peak, implies **~$36.6B** of normalized revenue (Exhibit 20 & Exhibit 21).

Exhibit 20: Historical revenue reset precedent analysis implies ~ $36.6B in sales, ~23% below '31e consensus.



Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 21: Six revenue reset precedents show an average ~29% peak-to-trough decline.

Company	Duration (Peak → Trough)	Number of Years	Peak-to-Trough Revenue Decline
GUCCI	FY22 → FY25	3+ (ongoing)	-43%
intel	FY21 → FY25	4+ (ongoing)	-33%
MATTEL	FY13 → FY19	6	-31%
SAMSUNG mobile	FY13 → FY16	3	-28%
ESTÉE LAUDER	FY22 → FY25	3	-19%
RALPH LAUREN	FY15 → FY18	3	-19%
Average		3.7	-29%

Source: Visible Alpha, Company Data, Morgan Stanley Research

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Margin Analysis

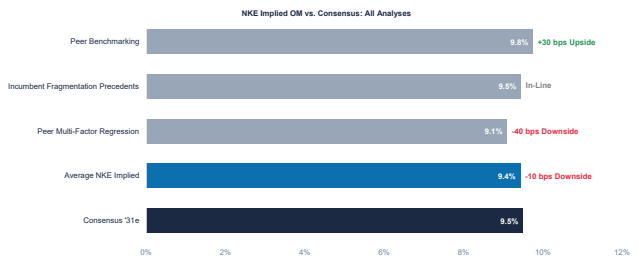
Our three independent profitability approaches point to margins ~in-line with '31e consensus (~9.4% vs. 9.5%). Peer benchmarking, peer multi-factor regression, & incumbent fragmentation precedents imply EBIT margins of ~9.8%, ~9.1%, & ~9.5%, respectively (Exhibit 22).

#1 Peer Benchmarking: We estimate NKE's normalized operating margin by equally weighting three peer benchmarks: 1) next fiscal year consensus levels, 2) pre-Covid levels ('17-'19), & 3) post-Covid levels ('22-'25). For each period, we calculate sales-weighted peer margins and adjust peer weights to reflect NKE's footwear/category revenue mix. We also exclude IEEPA tariff refunds and allocate corporate costs to segment-based peers to improve comparability. The adjusted benchmarks imply operating margins of 10.8%, 9.4%, & 9.0%, respectively, averaging to a **~9.8% normalized operating margin.**

#2 Peer Multi-Factor Regression: We estimate NKE's normalized operating margin by regressing peer margins against six business characteristics: revenue scale, sales growth, North America mix, direct-to-consumer mix, premium-brand positioning, & footwear mix. The regression uses 36 annual observations across 12 peer brands in '23-'25, excluding NKE and removing IEEPA tariff refunds. This implies a **~9.1% normalized operating margin.**

#3 Incumbent Fragmentation Precedents: We estimate NKE's normalized operating margin by examining four established industry incumbents whose categories subsequently experienced fragmentation: Estée Lauder, Starbucks, Monster Beverage, & AB InBev. For each company, we compare its average operating margin before fragmentation with its average over the three most recently reported fiscal years. The respective proportional declines of 42%, 12%, 25%, & 15% imply an equally weighted average haircut of ~24%. Applying this haircut to NKE's '14-'24 average operating margin of 12.4% implies a **~9.5% normalized operating margin.**

Exhibit 22: Our three margin frameworks point to ~9.4% OM, ~in-line with the Street.



Source: Visible Alpha, Morgan Stanley Research

Exhibit 23: Margin recovery by geography sensitivity

NKE OM Sensitivity: % of '26 OM Delta vs. '15-'24 Avg. Recaptured

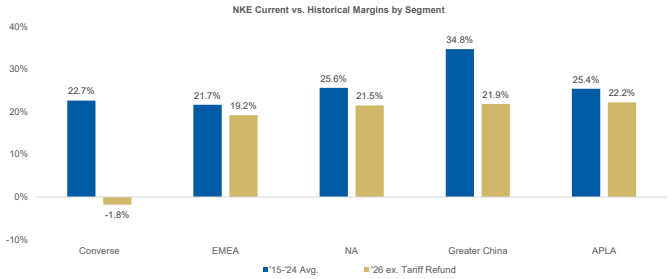
China % OM Recaptured \ ROW (NA, EMEA, APLA, Converse) % OM Recaptured	0%	25%	50%	75%	100%
0%	6.5%	7.4%	8.3%	9.1%	10.0%
25%	6.8%	7.7%	8.6%	9.5%	10.3%
50%	7.1%	8.0%	8.9%	9.8%	10.7%
75%	7.5%	8.3%	9.2%	10.1%	11.0%
100%	7.8%	8.7%	9.6%	10.4%	11.3%

= MSe Analysis Implied

Source: Visible Alpha, Company Data, Morgan Stanley Research

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Exhibit 24: '26 segment margins remain below historical levels, most notably in Greater China & Converse.



Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 25: At ~$40B in sales & 9.5% OM, we estimate ~$3.8B in normalized EBIT.

NKE EBIT Sensitivity '31e ($B)

		Revenue												
		$32.0B	$33.0B	$34.0B	$35.0B	$36.0B	$37.0B	$38.0B	$39.0B	$40.0B	$41.0B	$42.0B	$43.0B	$44.0B	$45.0B
EBIT Margin	8.0%	$2.6B	$2.6B	$2.7B	$2.8B	$2.9B	$3.0B	$3.0B	$3.1B	$3.2B	$3.3B	$3.4B	$3.4B	$3.5B	$3.6B
	8.5%	$2.7B	$2.8B	$2.9B	$3.0B	$3.1B	$3.1B	$3.2B	$3.3B	$3.4B	$3.5B	$3.6B	$3.7B	$3.7B	$3.8B
	9.0%	$2.9B	$3.0B	$3.1B	$3.2B	$3.2B	$3.3B	$3.4B	$3.5B	$3.6B	$3.7B	$3.8B	$3.9B	$4.0B	$4.1B
	9.5%	$3.0B	$3.1B	$3.2B	$3.3B	$3.4B	$3.5B	$3.6B	$3.7B	$3.8B	$3.9B	$4.0B	$4.1B	$4.2B	$4.3B
	10.0%	$3.2B	$3.3B	$3.4B	$3.5B	$3.6B	$3.7B	$3.8B	$3.9B	$4.0B	$4.1B	$4.2B	$4.3B	$4.4B	$4.5B
	10.5%	$3.4B	$3.5B	$3.6B	$3.7B	$3.8B	$3.9B	$4.0B	$4.1B	$4.2B	$4.3B	$4.4B	$4.5B	$4.6B	$4.7B
	11.0%	$3.5B	$3.6B	$3.7B	$3.9B	$4.0B	$4.1B	$4.2B	$4.3B	$4.4B	$4.5B	$4.6B	$4.7B	$4.8B	$5.0B

= MSe View

Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 26: At ~$40B in sales & 9.5% OM, we estimate ~$2.05 in normalized EPS.

NKE EPS Sensitivity '31e ($)

		Revenue												
		$32.0B	$33.0B	$34.0B	$35.0B	$36.0B	$37.0B	$38.0B	$39.0B	$40.0B	$41.0B	$42.0B	$43.0B	$44.0B	$45.0B
EBIT Margin	8.0%	$1.38	$1.43	$1.47	$1.51	$1.56	$1.60	$1.64	$1.69	$1.73	$1.77	$1.82	$1.86	$1.90	$1.95
	8.5%	$1.47	$1.52	$1.56	$1.61	$1.65	$1.70	$1.75	$1.79	$1.84	$1.88	$1.93	$1.98	$2.02	$2.07
	9.0%	$1.56	$1.61	$1.65	$1.70	$1.75	$1.80	$1.85	$1.90	$1.95	$2.00	$2.04	$2.09	$2.14	$2.19
	9.5%	$1.64	$1.69	$1.75	$1.80	$1.85	$1.90	$1.95	$2.00	$2.05	$2.11	$2.16	$2.21	$2.26	$2.31
	10.0%	$1.73	$1.78	$1.84	$1.89	$1.95	$2.00	$2.05	$2.11	$2.16	$2.22	$2.27	$2.33	$2.38	$2.43
	10.5%	$1.82	$1.87	$1.93	$1.99	$2.04	$2.10	$2.16	$2.21	$2.27	$2.33	$2.38	$2.44	$2.50	$2.56
	11.0%	$1.90	$1.96	$2.02	$2.08	$2.14	$2.20	$2.26	$2.32	$2.38	$2.44	$2.50	$2.56	$2.62	$2.68

= MSe View

Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 27: Our base case implies ~15% EBIT downside vs. consensus.

NKE EBIT Sensitivity '31e: % Upside / (Downside) vs. Consensus EBIT

		Revenue												
		$32.0B	$33.0B	$34.0B	$35.0B	$36.0B	$37.0B	$38.0B	$39.0B	$40.0B	$41.0B	$42.0B	$43.0B	$44.0B	$45.0B
EBIT Margin	8.0%	-44%	-42%	-40%	-38%	-36%	-35%	-33%	-31%	-29%	-28%	-26%	-24%	-22%	-21%
	8.5%	-40%	-38%	-36%	-34%	-33%	-31%	-29%	-27%	-25%	-23%	-21%	-19%	-18%	-16%
	9.0%	-36%	-35%	-33%	-31%	-29%	-27%	-25%	-23%	-21%	-19%	-17%	-15%	-13%	-11%
	9.5%	-33%	-31%	-29%	-27%	-25%	-22%	-20%	-18%	-16%	-14%	-12%	-10%	-8%	-6%
	10.0%	-29%	-27%	-25%	-23%	-21%	-18%	-16%	-14%	-12%	-10%	-7%	-5%	-3%	-1%
	10.5%	-26%	-24%	-21%	-19%	-17%	-14%	-12%	-10%	-7%	-5%	-3%	0%	2%	4%
	11.0%	-22%	-20%	-18%	-15%	-13%	-10%	-8%	-5%	-3%	-1%	2%	4%	7%	9%

= MSe View

Source: Visible Alpha, Company Data, Morgan Stanley Research

Exhibit 28: Our base case implies ~15% EPS downside vs. consensus.

NKE EPS Sensitivity '31e: % Upside / (Downside) vs. Consensus EPS

		Revenue												
		$32.0B	$33.0B	$34.0B	$35.0B	$36.0B	$37.0B	$38.0B	$39.0B	$40.0B	$41.0B	$42.0B	$43.0B	$44.0B	$45.0B
EBIT Margin	8.0%	-44%	-42%	-40%	-38%	-37%	-35%	-33%	-31%	-29%	-28%	-26%	-24%	-22%	-21%
	8.5%	-40%	-38%	-36%	-34%	-33%	-31%	-29%	-27%	-25%	-23%	-21%	-19%	-18%	-16%
	9.0%	-37%	-35%	-33%	-31%	-29%	-27%	-25%	-23%	-21%	-19%	-17%	-15%	-13%	-11%
	9.5%	-33%	-31%	-29%	-27%	-25%	-23%	-20%	-18%	-16%	-14%	-12%	-10%	-8%	-6%
	10.0%	-29%	-27%	-25%	-23%	-21%	-18%	-16%	-14%	-12%	-10%	-7%	-5%	-3%	-1%
	10.5%	-26%	-24%	-21%	-19%	-17%	-14%	-12%	-10%	-7%	-5%	-3%	0%	2%	4%
	11.0%	-22%	-20%	-18%	-15%	-13%	-10%	-8%	-5%	-3%	-1%	2%	4%	7%	9%

= MSe View

Source: Visible Alpha, Company Data, Morgan Stanley Research

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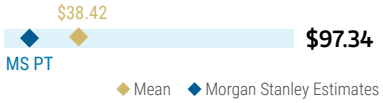
Risk Reward – Nike Inc. (NKE.N)

Underestimated EPS & De-Rating Risk

PRICE TARGET $25.00

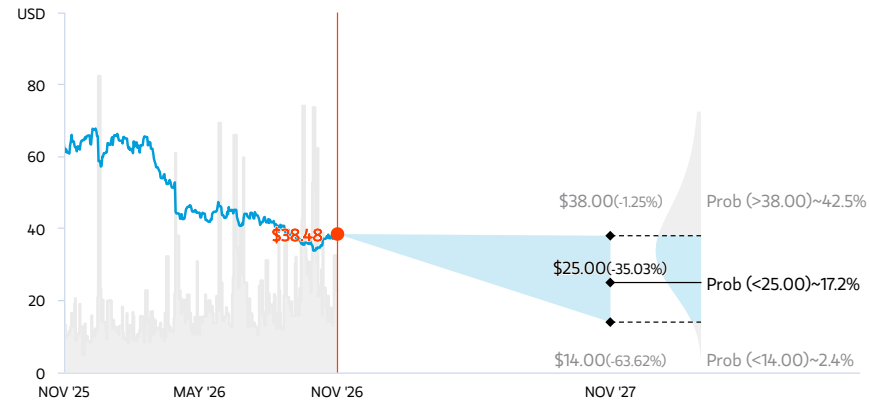
Our price target reflects our $25 base case, which is derived from a DCF analysis. Our base case DCF uses an 8% WACC, ~0.5% long-term growth rate, and 9.5% terminal margin.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 3 Nov 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

UNDERWEIGHT THESIS

- Our Underweight rating reflects our view that the market underestimates both negative EPS revision risk & the potential for further valuation compression.
- We also think valuation remains elevated relative to NKE's new growth/earnings profile & an increasingly fragmented sportswear market.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE $38.00

21x Bull Case FY28e EPS

In the M-T, revenue is +LSD % y/y on average from '28e-'31e, & EBIT margins gradually expand to ~11% by '31e. DCF contemplates 1% terminal growth & ~12% terminal EBIT margin.

BASE CASE $25.00

18x Base Case FY28e EPS

In the M-T, revenue is -1.5% y/y on average from '28e-'31e, & EBIT margins gradually expand to ~9.5% by '31e. DCF contemplates 0.5% terminal growth & ~9.5% terminal EBIT margin.

BEAR CASE $14.00

16x Bear Case FY28e EPS

In the M-T, revenue is -6% y/y on average from '28e-'31e, & EBIT margins reach HSD % through '31e. DCF contemplates -0.5% terminal growth & ~7% terminal EBIT margin.

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Risk Reward – Nike Inc. (NKE.N)

KEY EARNINGS INPUTS

Drivers	May 2026	May 2027e	May 2028e	May 2029e
Sales Growth (%)	0.2	(8.7)	(3.4)	(1.8)

INVESTMENT DRIVERS

- Total Sales Growth: Reported geographically (NA, EMEA, China, and APLA)
- Gross Margin: Driven by input costs, channel/product mix, FX, DC, and inventory mgmt
- EBIT Margin: Driven by marketing cost, R&D, own stores expenses, and eComm fulfillment

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 10-20% Mainland China
- 40-50% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Consensus '28e return to topline growth proves achievable
- Topsports/Pou Sheng online distro exit represents less of a China headwind
- Performance growth is able to offset Sportswear/Jordan declines

RISKS TO DOWNSIDE

- Assumption that NKE returns to growth in '28e proves overly optimistic
- GM recovery falls short as promos remain elevated
- Greater SG&A de-leverage as NKE invests to restore brand heat

OWNERSHIP POSITIONING

Inst. Owners, % Active	50.8%
HF Sector Long/Short Ratio	1.8x
HF Sector Net Exposure	11.3%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY May 2027e

Sales / Revenue ($, mm)	42,133	42,361	46,303
		42,906	
EBIT ($, mm)	1,845	2,116	3,084
		2,414	
EBITDA ($, mm)	2,429	2,807	3,925
		3,157	
EPS ($)	1.01	1.14	1.61
		1.27	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Alex Straton.

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Global Research Conflict Management Policy

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Global Stock Ratings Distribution

(as of October 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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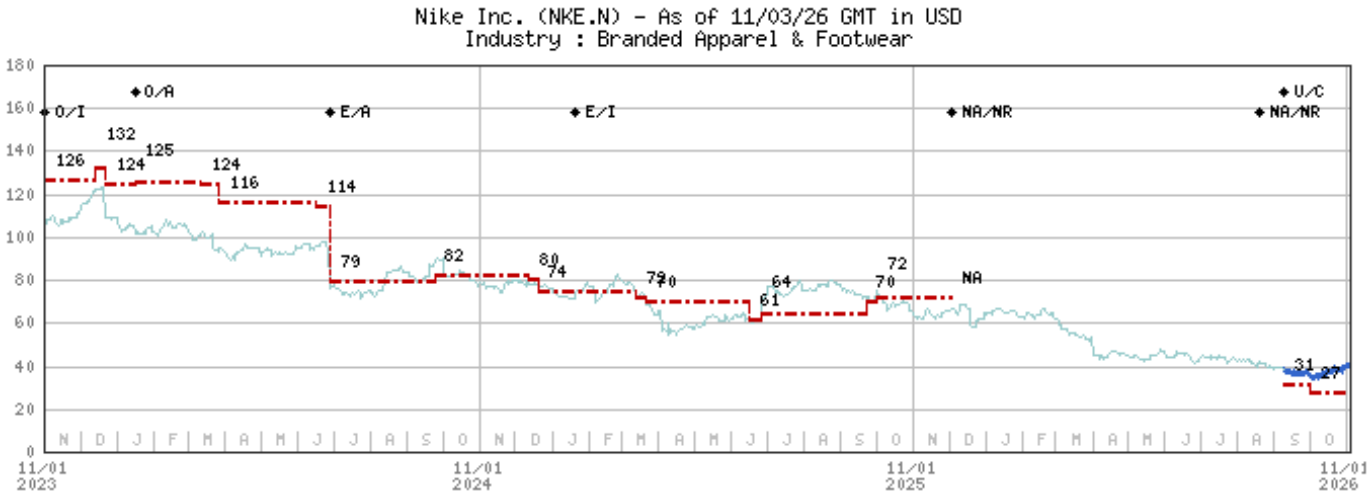
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

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Stock Rating History: 11/1/21 : O/I; 6/14/22 : O/I; 1/16/24 : O/A; 6/28/24 : E/A; 1/20/25 : E/I; 12/4/25 : NA/NR; 8/19/26 : NA/NR; 9/9/26 : U/C

Price Target History: 9/23/21 : 201; 12/12/21 : 206; 12/20/21 : 202; 3/14/22 : 192; 6/14/22 : 159; 6/28/22 : 149; 9/21/22 : 129; 9/30/22 : 120; 12/12/22 : 127; 12/21/22 : 138; 3/12/23 : 140; 3/27/23 : 130; 6/30/23 : 127; 9/21/23 : 126; 12/14/23 : 132; 12/22/23 : 124; 1/16/24 : 125; 3/11/24 : 124; 3/27/24 : 116; 6/16/24 : 114; 6/28/24 : 79; 9/24/24 : 82; 12/12/24 : 80; 12/20/24 : 74; 3/12/25 : 72; 3/21/25 : 70; 6/16/25 : 61; 6/27/25 : 64; 9/22/25 : 70; 10/1/25 : 72; 12/4/25 : NA; 9/9/26 : 31; 10/1/26 : 27

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Branded Apparel & Footwear

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/03/2026)
Alex Straton		
Amer Sports Inc (AS.N)	E (09/09/2026)	$30.49
Nike Inc. (NKE.N)	U (09/09/2026)	$38.48
On Holding AG (ONON.N)	O (09/09/2026)	$36.50
Under Armour Inc. (UAA.N)	U (09/09/2026)	$5.32

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